

**BAKER
HUGHES**

Rpt Date 14/Jan/2007			Well Name/No Bilabri D4			Section Name/No 12-1/4" Section #3			Mud System SYN-TEQ (PARA)												
Job# 1		Spud Date 09/Nov/2006			MD 2591.00 m			Progress 0.00 m		Present Activity Wait											
Operator Peak Petroleum Indust. Limited			Company Rep Tom G.May / Chris Newton			Contractor Dolphin Drilling Ltd			Contractor Rep Steve Milne / Terry Nanidis												
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria				Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN											
Drilling Assembly						Casing		Volumes	Pump Information												
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min				
12 1/4		HCC		PDC			19 1/2	172.50	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0					
Drill Collars			Drill Pipe			20	18 3/4	291.60	1376.1	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0					
OD in	ID in	Length m	OD in	ID in	Length m	13 3/8	12.415	800.00	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0					
8	3 1/4	6.57	5	4.276	2348.34		12 1/4	2591.00	404												
8	2 5/8	9.35	5	3	158.56				Tot Active												
8	2 3/4	27.29							1780.1	Circulation Times											
8	2 13/16	9.05							In Storage	Surface to Bit		min/stks		Total System		min/stks					
									900	Bottoms Up		min/stks									
Mud Properties						Max Ann Velocity			Hole Information												
Property			Fluid Spec		1	2	3	AV Riser		ft/min		Standpipe Pressure		0 psi		Water Depth			146.00 m		
Sample From					Active Pit		Active Pit		AV Casing		ft/min		Hole Flow		USgal/min		Riser Booster Rate			USgal/min	
Check Time					23:30		23:00		AV Open Hole		ft/min		Solids Analysis								
MD m					2591.00		2591.00		Vc Open Hole		ft/min		Property		1	2	3	4			
TVD m					2449.98		2449.98		Vc Drill Pipe		ft/min		LGS %		5.72		5.70				
Bit Depth m					2588.00		2588.00		Min Ann Velocity			LGS lb/bbl		52.15		51.93					
Inc deg					1.46		1.46		AV Riser		ft/min		HGS %		4.15		4.13				
Density ppg					9.30		9.30		AV Casing		ft/min		HGS lb/bbl		61.10		60.77				
Funnel Visc. sec/quart					90.0		88.0		AV Open Hole		ft/min		Bentonite %		0.00						
Test Temp degF					95.0		95.0		Bit Information			Bentonite lb/bbl		0.00							
Rheol Temp degF					120.0		120.0		Size		12 1/4 in		Drill Sol %		0.00						
PV cP					33		32		Hours On Bit			Drill Sol lb/bbl		0.00							
YP lbf/100ft^2					20		20		Bit Number				Avg Dens Sol sg		3.2727		3.2721				
10sec Gel lbf/100ft^2					9		8		BHA Number		10		Rheology								
10min Gel lbf/100ft^2					16		14		Depth In		2385.00 m		600 RPM		86		84				
HTHP Filtrate cc					3.2		3.0		Bit RPM				300 RPM		53		52				
HTHP Cake in/32					2.0		2.0		WOB		klbf		200 RPM		40		40				
HTHP Temp degF					250.0		250.0		Nozzles		4x16:4x12		100 RPM		28		27				
HTHP Pressure psi					500		500		Bit Hydraulics			6 RPM		10		9					
Retort Water %					25.0		25.0		TFA		1.2272 in^2		3 RPM		8		7				
Retort Base Fluid %					63.0		63.0		Nozzle Vel		ft/sec										
Retort Solids %					12.0		12.0		Bit Press Loss		psi										
Corrected Solids %					9.9		9.8		HHP / Area		HP/in^2		Hydraulic Analysis								
Oil:Water Ratio					72:28		72:28		HHP		%		Behavior Index (n)								
Alk (Whole Mud-POM) cc/cc					1.80		1.90						Consistency Index (k)						#sec^n/100ft^2		
Cl (Whole Mud-Clom) cc/cc					52000		53000						ECD @ Bit Depth						ppg		
Ca (Whole Mud-Caom) cc/cc					0		0						ECD @ Casing Shoe						ppg		
Excess Lime lb/bbl					2.3		2.5		Fluid Comments/ Recommendations												
Brine Density sg					1.22		1.23		SURFACE ACTIVE VOL (9.3ppg) = (Act Pit #2 - 221 bbls + S/Traps - 150bb) = 371 bbls. RESERVE VOL(9.3 ppg) = (Pit #1 - 92bbls + pit #3 - 351bbls + pit 4 - 343bbls) = 786bbls. TOTAL USEABLE(9.3 ppg) = (Act Pit #2 - 221bbls + Res Pits 1,3, 4 - 786bbls) = 1007bbls. OTHER FLUIDS - Base Oil in Chemical pit - 55 bbls & Slug piit (9.2 ppg) - 59 bbls Inventory adjustment for Soluflake-Coarse & Milsea-Coarse. Charged of Soluflake-Coase instead of Milseal-Coarse on Rpt #66 of 1 0/01/07.												
NaCl % wt					0		0														
CaCl2 % wt					25		25														
Elect. Stab.V					506.0		503.0														
Sand %					0.50		0.50														

ADVANTAGE Daily Drilling Fluids Report - 70

INTEQ

Rpt Date 14/Jan/2007		Well Name/No Bilabri D4		Section Name/No 12-1/4" Section #3		Mud System SYN-TEQ (PARA)	
Job# 1		Spud Date 09/Nov/2006		MD 2591.00 m		Progress 0.00 m	
Operator Peak Petroleum Indust. Limited		Company Rep Tom G.May / Chris Newton		Contractor Dolphin Drilling Ltd		Contractor Rep Steve Milne / Terry Nanidis	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
Rig BULFORD DOLPHIN							
Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1		0.0		0.0	0.0	
CENTRIFUGE	2		0.0		0.0	0.0	
DESANDER	1		0.0		0.0	0.0	
DESILTER	1		0.0		0.0	0.0	
MUD CLEANER	1		0.0	175, 210	0.0	0.0	
SHALE SHAKER	1		0.0		0.0	0.0	
SHALE SHAKER	1		0.0	210, 2 x 175	0.0	0.0	
SHALE SHAKER	2		0.0		0.0	0.0	
SHALE SHAKER	2		0.0	3 x 175	0.0	0.0	
SHALE SHAKER	3		0.0	3 x 175	0.0	0.0	
SHALE SHAKER	3		0.0		0.0	0.0	
				Total Volume Lost	0	0	
Volumes							
Additions bbl		Losses bbl		Total Volumes bbl			
Mud Added	Weight Materials	Downhole	6	Left In Pit	Starting Volume	2686.1	Riser w/o Pipe
Brine	Water	Cased Off		Trip Losses	Daily Additions		Casing w/o Pipe
Base Fluid	Product	Left In Hole		Injected	Daily Losses	6	Open Hole w/o Pipe
Recycled	Other	Discharged		Spill To Environment	Ending Volume	2680.1	String Displacement
		SCE		Onshore Disposal	Net Change	-6.0	String Capacity
		Evaporation		Returned			Total Hole w/ Pipe
		Other Losses					Total Active
							Total Reserve
							900.0
IADC Hours							
Fishing		10		Miscellaneous		2	
						Wait	
						12	
BHDF Fluids Rep		BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost
Waboso Peter / Ifeanyi Nwosu		234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	900.00 USD	1798401.18 USD
							Inventory Value
							562953.11 USD
							Page 2
Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.							

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN			
Primary Currency USD			Secondary Currency			Totals USD					
Daily Product Cost		0.00		Daily Product Cost		0.00		Primary Product 1723194.93			
Daily Tax		0.00		Daily Tax		0.00		Secondary Product 0.00			
Debit/Credit		0.00		Debit/Credit		0.00		Primary Engineering 75206.25			
Daily Engineering Cost		900.00		Daily Engineering Cost				Secondary Engineering 0.00			
Total Daily Cost		900.00		Total Daily Cost		0.00		Primary Total 1798401.18			
Total Inventory Value		562953.11		Total Inventory Value		0.00		Secondary Total 0.00			
								Deck Load 619856 lb			
Products and Services											
Product		Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl
Bulk											
MIL-BAR		1000 kg	100						100	128.73	114.15
Oil Based Product											
CARBO-GEL		25 kg	270						270	6.00	6.92
MIL-LIME		25 kg	240						240	5.29	4.61
OMNI-COTE		55 USgal	10						10	0.26	0.14
OMNI-MUL		55 USgal	20						20	5.36	4.97
OMNI-PLEX		55 USgal	16						16	4.82	6.42
OMNI-TEC		55 USgal	20						20	2.83	2.21
PARA-TEQ		1 bbl	844						844		
Water Based Product											
CAUSTIC SODA		25 kg	32						32		
MIL-GUAR		25 kg	50						50	0.25	0.11
OX-BAN		5 USgal	11						11		
Xanthan Gum		25 kg	39						39	0.43	0.19
XCIDE 102		55 USgal	5						5	0.01	
LCM											
CALCIUM CARBONATE - FINE		25 kg	200						200	6.60	3.71
CALCIUM CARBONATE - MED		25 kg	480						480	6.83	2.96
MIL-PLUG - MEDIUM		25 kg	71						71	0.04	0.51
MIL-PLUG-COARSE		25 kg	168						168		
MIL-SEAL-COARSE		25 kg	180	-13					167		
MIL-SEAL-FINE		25 kg	107						107	0.04	0.51
SOLUFLAKE C		50 lb	27	13					40	0.04	0.47
SOLUFLAKE F		50 lb	147						147	0.04	0.47
SOLUFLAKE M		50 lb	147						147	0.04	0.47
Other											
BLACK MAGIC SF T		25 kg	120						120		
CALCIUM CHLORIDE (97%)		25 kg	360						360	11.42	11.98
BHDF Fluids Rep		BHDF Rep Phone		Warehouse	Warehouse Phone		Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 3
Waboso Peter / Ifeanyi Nwosu		234-803-402-0440		Onne	234-84-462609		Lawson Ogaree	900.00 USD	1798401.18 USD	562953.11 USD	
Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.											